

The Spring and the Size

The previous guide was the mind. This one is the mechanics. **One setup he traded for decades, and the money management that let him keep trading it.**

01 The spring

Paul spent years on the work of W D Gann and Richard Wyckoff (Richard Wyckoff, 1873 to 1934, who read markets as large operators quietly buying before a move and quietly selling into one) and came out with something small enough to trade. **The setup he is best known for is the spring.**

- **A spring is a break that fails.** Price drops below an obvious floor, everyone who was going to sell has sold, and then price comes straight back above it.
- **The break is the point, not the problem.** The move below the level is what clears out the sellers. The reclaim is the signal that they are gone.
- **Entry is the reclaim, not the break.** You wait for price to be back on the correct side of the level before you act. If it never comes back, there was no trade.
- **The stop lives under the low of the break.** If that low goes again, the reclaim was false and the idea is finished. Nothing to interpret.

The spring is the one shot he is set for, not every ball in the stadium.

02 The size

Paul was blunt that the setup is the easy half. **Size and structure are what decide whether a good method survives a bad month.**

- **Risk a fixed fraction, then let the stop set the size.** Wide stop means fewer units. The dollar risk stays flat while the trade changes shape.
- **Trade with the structure, not against it.** Higher highs and higher lows is a direction. Taking the other side of it is paying for the privilege of being interesting.
- **Press the winner.** Paul and Hougaard agree here, from opposite temperaments. Most accounts are made by a small number of trades that were allowed to become large.
- **Survive first.** A method with an edge and no risk control still ends at zero. The order matters and it is not negotiable.

THE PAIR, IN ONE LINE

Hougaard works on the person holding the position. Paul works on the structure around it. Neither one is optional, and the trader who has only one of them tends to believe the other is the easy part.

SOURCES & NOTE

Sources: Dr Ulrik Vangstrup, In. This. Moment., a biography of Dr David Paul; Published David Paul lectures and interviews, 2010 to 2022; Tom Hougaard on Paul as his mentor.

Dr David Paul lived 1955 to 2023 and did not publish a trading book of his own. This guide is built from a biography written about him and from his recorded talks. Educational, not financial advice.